Oracle

Re-rating and Rapid Scaling Drive Upside Opportunity Despite Robust Capital Needs; Rate OW and Dec-27 PT of $200

Overweight

ORCL, ORCL US
Price (12 Aug 26):$153.28

▼ **Price Target (Dec-27):$200.00**
Prior (Dec-26):$210.00

We reiterate our Overweight on Oracle shares while establishing a Dec-27 price target of $200. We see significant upside to the current share price led by the combination of profit growth helped by largely similar margins on a strong revenue inflection associated with the capacity build-out, as well as an opportunity for a re-rating relative to the valuation multiple the shares trade at, which is a significant discount to comparable peers. Concerns around the capital intensity of the AI infrastructure build-out as well as capital needs for Oracle in the coming years, in addition to near-term anticipation of an equity issuance, are leading ORCL shares to trade at a significant discount to both peer groups of AI infra builders as well as Enterprise software companies, leading to a strong upside opportunity from the current share price.

- **Rapid build-out of infrastructure creates opportunity to compete with hyperscalers and leverage the AI investment cycle.** Oracle's rapid build-out of cloud infrastructure is expected to deliver OCI / IaaS revenue ramp from $18 bn in FY26 to $180 bn in FY30 (per JPMe), which will put Oracle firmly in the competitive landscape with hyperscalers including Microsoft, Amazon, and Google, and in a strong position to leverage the AI investment cycle. The company's build-out plans are supported by $638 bn of RPO as of last quarter, which comprises contracts with OpenAI and Meta, amongst others. With IaaS gross margins in the range of 30%-40% and with IaaS forming a larger part of the revenue mix over time, we expect the company to focus on maintaining operating margins, while company gross margins moderate. The combination of 33% JPM forecasted revenue CAGR for the total company through FY30 and ~29% EPS CAGR leads us to expect a robust financial outlook.
- **Capital needs are significant, but the valuation discount to peers implies there remains an opportunity for upside from both profit growth as well as a re-rating.** The build-out of the infrastructure is ahead of monetization through revenues, and will, in our estimate, require the company to raise about ~$20 bn of capital on average every year (inclusive of the $40 bn in FY27); although admittedly our capex forecasts are higher than those implied by the management team as we expect AI infrastructure demand to remain robust and the company to incrementally invest towards growth. Despite the increase in the debt position to fund the infrastructure build, we see sizeable upside to the equity valuation for the company led by a combination of profit growth as well as a re-rating of the valuation multiple.
- **Application software, including Autonomous AI Database, provides TAM expansion opportunities at healthy margins.** While the infrastructure revenue growth will overwhelm growth in other businesses for the company, the company has the opportunity to offer a more comprehensive stack including multi-cloud database as well as ERP systems, wherein the growth delivered will be at healthy margins and the customer is likely to prove sticky on account of a PaaS offering. The growth in software at healthy margins as well as forecasted opex discipline supports our robust earnings growth forecasts.

Software - Large Cap / Mid & Small Cap

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Key Changes (FYE May)

	Prev	Cur	Δ
Adj. EPS - 28E ($)	10.59	11.10	4.7%

Quarterly Forecasts (FYE May)

Adj. EPS ($)	2026A	2027E	2028E
Q1	1.47	1.76	2.25
Q2	2.26	1.94	2.57
Q3	1.79	2.04	2.88
Q4	2.11	2.30	3.39
FY	7.63	8.05	11.10

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	51	68	78	72	59
Growth	97	97	91	57	79
Momentum	52	67	12	20	20
Quality	28	9	29	3	3
Low Vol	52	55	29	5	8
ESGQ	89	83	95	91	53

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 27 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-21.4%	9.0%	-18.0%	-39.6%
Rel	-34.6%	6.7%	-22.7%	-59.8%

Company Data

Shares O/S (mn)	3,186
52-week range ($)	345.72-114.50
Market cap ($ mn)	488,296.30
Exchange rate	1.00
Free float (%)	59.5%
3M ADV (mn)	31.19
3M ADV ($ mn)	4,979.0
Volatility (90 Day)	67
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	42|8|1

Key Metrics (FYE May)

$ in millions	FY26A	FY27E	FY28E
Financial Estimates			
Revenue	67,358	90,953	131,488
Adj. EBIT	28,925	37,628	51,398
Adj. EBITDA	29,899	44,991	68,727
Adj. net income	22,235	24,983	35,148
Adj. EPS	7.63	8.05	11.10
BBG EPS	7.48	8.06	10.71
Cashflow from operations	31,977	59,884	91,759
FCFF	(23,686)	(35,116)	(27,741)
Margins and Growth			
Revenue Growth Y/Y (%)	17.4%	35.0%	44.6%
EBIT margin	42.9%	41.4%	39.1%
EBIT Growth Y/Y (%)	15.5%	30.1%	36.6%
EBITDA margin	44.4%	49.5%	52.3%
EBITDA Growth Y/Y (%)	25.4%	50.5%	52.8%
Net margin	33.0%	27.5%	26.7%
Adj. EPS growth	26.5%	5.5%	37.8%
Ratios			
Adj. tax rate	19.9%	19.7%	20.0%
Interest cover	6.5	6.7	9.0
Net debt/Equity	2.3	1.2	1.0
Net debt/EBITDA	3.3	2.6	2.2
ROE	69.5%	35.5%	27.9%
Valuation			
FCFF yield	(5.3%)	(7.4%)	(5.7%)
Dividend yield	1.3%	1.3%	1.3%
EV/Revenue	8.3	6.4	4.7
EV/EBITDA	18.8	12.9	9.0
Adj. P/E	20.1	19.0	13.8

Summary Investment Thesis and Valuation

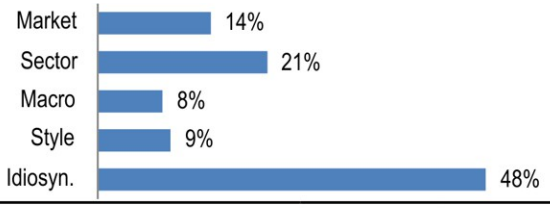
Investment Thesis

We rate Oracle Overweight while establishing a Dec-27 price target of $200 (prior Dec-26 PT of $210) with significant upside to the current share price led by the combination of profit growth helped by largely similar margins on a strong revenue inflection associated with the capacity build-out, as well as an opportunity for a re-rating relative to the valuation multiple the shares trade at, which is a significant discount to comparable peers. Concerns around the capital intensity of the AI infrastructure build-out cycle as well as capital needs for Oracle in the coming years, in addition to near-term anticipation of an equity issuance, are leading ORCL shares to trade at a significant discount to both peer groups of AI infra builders as well as Enterprise software companies, leading to a strong upside opportunity from the current share price.

Valuation

Our Dec 2027 price target of $200 is based on ~13x EV/ pro forma operating income on our 2028 PF operating income forecast of $62 bn.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.47	0.46
Sect: Technology	0.61	0.53
Ind: Software & Serv	0.74	0.65
Macro:		
Crude Oil	0.13	0.11
Economic Surprise	0.02	-0.07
Credit Spread	0.13	-0.06
Quant Styles:		
Growth	0.54	0.51
LowVol	-0.48	-0.44
Value	-0.33	-0.39

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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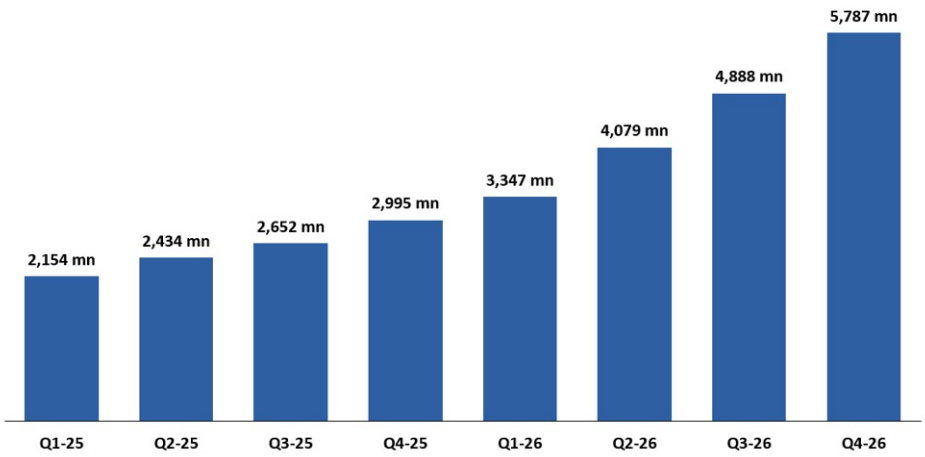
1. Scaling rapidly, demand visibility remains high

Scaling of infrastructure has put Oracle in a leading position to compete with hyperscalers

Oracle currently sits on $638 bn of remaining performance obligations, up 363% y/y, after recording a significant inflection sequentially of over $318 bn in F1Q26 with the company signing contracts with OpenAI, xAI, Meta, Nvidia, AMD, and many others. The significant inflection in RPO helped by backlog of compute infrastructure demand is indicative of the strong demand. Before we delve into the concerns around the sustainability of demand, it is worth acknowledging Oracle's ability to scale compute infrastructure, which is putting the company in a leading position to compete with hyperscalers, offer full stack services to a broader range of customers, and leverage the AI investment cycle.

As shown in the Figure below, Oracle's Cloud Infrastructure revenue has increased from $2.1 bn in F1Q25 to $5.8 bn in F4Q26, a 2.7x increase over a <24-month period, providing evidence, through recognized revenue, of the company's ability to scale infrastructure and service customer demand.

Figure 1: OCI Quarterly Revenue



Source: Company reports, J.P. Morgan

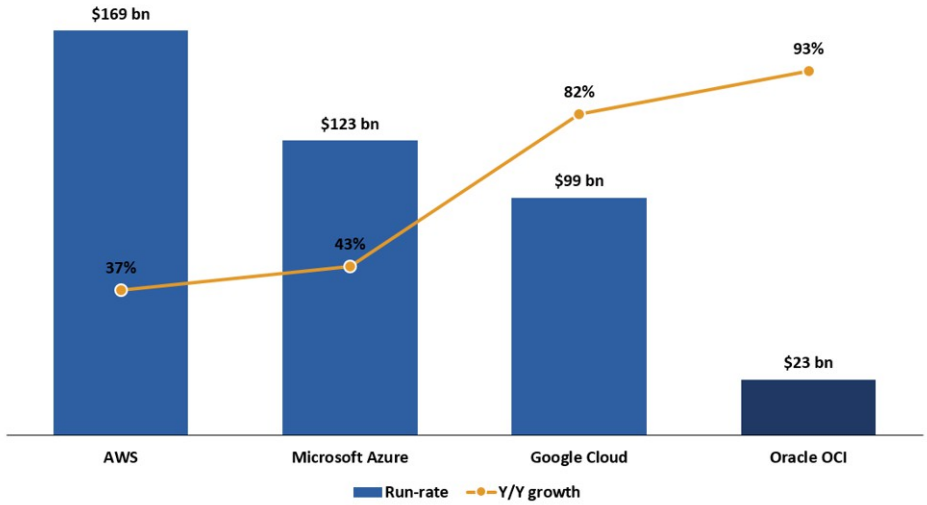
Capital investment increase driven by plans to catch up further with leading hyperscalers, while competing with neoclouds

Sizing OCI against the top 3 hyperscalers puts both the opportunity and the margin gap in perspective. On scale, OCI's $18.1 bn of FY26 infrastructure revenue is roughly one ninth of AWS (~$169 bn run-rate) and below Azure (~$123 bn) and Google Cloud (~ $99 bn run-rate), but it is growing far faster (+93%, vs. AWS +37%, Azure +43%, Google +82%) and has a backlog larger than that of Google and Amazon.

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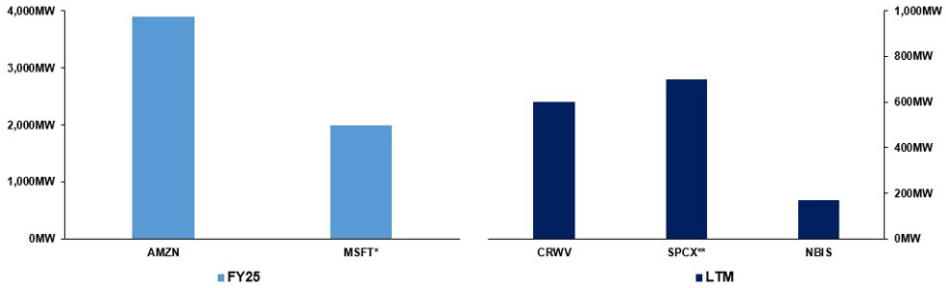
Figure 2: Hyperscaler Annualized Run Rate of Infrastructure Business



Source: Company reports, J.P. Morgan

On capacity, the >1.2 GW Oracle delivered in FY26 (and expects to bring online another 1 GW in F1Q27) is most comparable to Microsoft's ~1 GW added per quarter, both delivered-capacity figures.

Figure 3: Hyperscaler vs. Neocloud Active Capacity Adds



Note: MSFT* FY25 is June 2025 ending; SPCX** does not disclose LTM active capacity adds - figure represents last 15 months (400MW active capacity added in FY25 and 300MW added in F1Q26)
Source: Company filings, J.P. Morgan

Turning to demand, visibility remains high, led by inference

While investors are scrutinizing the validity of the demand visibility underpinning the RPO commitments as well as the long-term revenue outlook shared by the company, the visibility into broader industry demand for infrastructure stems from demand for tokens which are on a roadmap of rapid increase in consumption led by the expansion of demand with frontier LLM training, to SLM training by enterprises, and to inference-led demand, augmented in part by the compute intensity of reasoning models for inference.

As shown in the Figure below, as forecasted by JPM Communications Infrastructure analyst, Richard Choe, and JPM Asia Technology Hardware analyst, Albert Hung, we anticipate global capacity to increase from 60GW in 2025 to 253 GW in 2031, while demand is expected to increase from 116 GW in 2025 to 532 GW in 2031, a significant supply-demand gap even in the long term, leaving a tight capacity backdrop.

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Table 1: Global Capacity Requirements (MW)

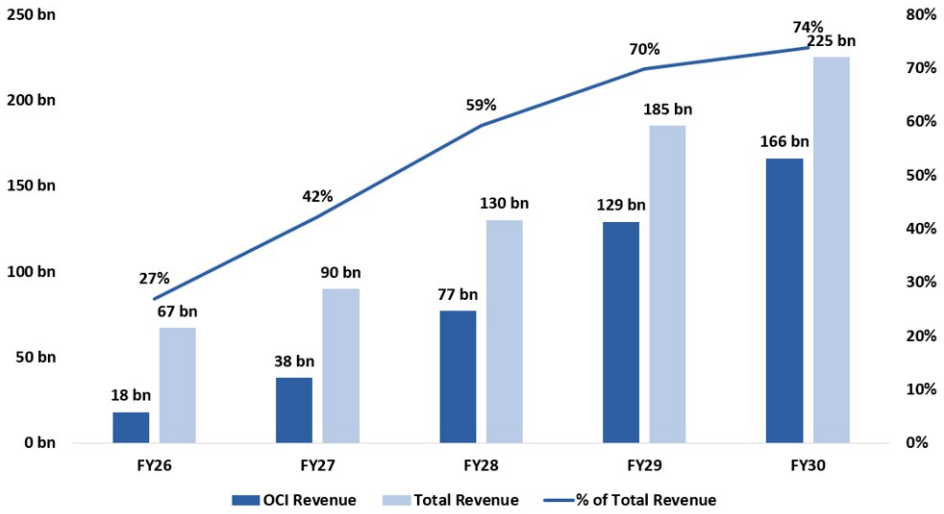
	2023	2024	2025	2026	2027	2028	2029	2030	2031
Supply	39,491	46,422	60,155	79,822	104,489	134,155	168,822	208,489	253,156
y/y % change		17.5%	29.6%	32.7%	30.9%	28.4%	25.8%	23.5%	21.4%
y/y MW change		6,931	13,733	19,667	24,667	29,667	34,667	39,667	44,667
Demand	83,131	97,022	115,627	150,318	212,975	290,421	369,367	449,813	531,759
y/y % change	NM	16.7%	19.2%	30.0%	41.7%	36.4%	27.2%	21.8%	18.2%
y/y MW change	NM	13,890	18,605	34,691	62,657	77,446	78,946	80,446	81,946
MW Undersupply	**43,640**	**50,600**	**55,472**	**70,496**	**108,486**	**156,265**	**200,545**	**241,324**	**278,603**

Source: J.P. Morgan Communications Infrastructure team, J.P. Morgan Asia Technology Hardware team

Led by the RPO, Oracle has shared a long-term outlook with significant growth expectations

Oracle shared its initial 5-year plan for OCI and total company revenue outlook at the last analyst day, which as outlined in the Figure below, is for total company revenues to expand at a 31% CAGR to $225 bn by FY30 and OCI (Cloud Infrastructure) revenue expanding at ~75% CAGR to $166 bn.

Figure 4: Oracle's Latest Long-Term Growth Framework



Note: FY26 is reported numbers, FY27 reflects the latest guidance for Total Revenue and assumed portion for OCI Revenue
Source: J.P. Morgan, Company Reports

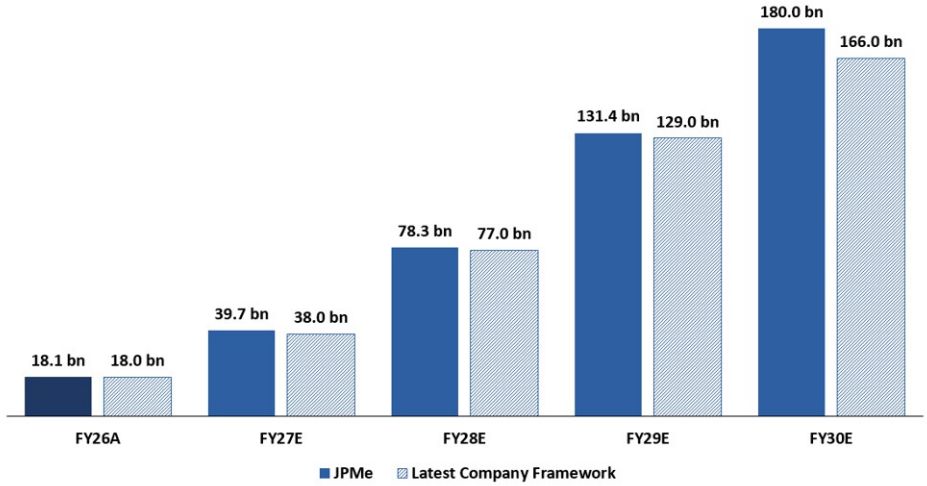
JPM forecasts upside led by stronger ramp already underway

Oracle has already raised its OCI revenue targets multiple times, including raising the IaaS/ OCI revenue target from the initial $32 bn target to $34 bn at the 2025 analyst day, and a subsequent $5 bn raise to the total company revenue target from $85 bn to $90 bn, highlighting the potential for another $5 bn raise to OCI / IaaS expectations. Led by already demonstrated upsides, we are forecasting execution to drive upsides to the latest company outlined OCI/ IaaS revenue expectations.

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Figure 5: JPMe vs. OCI Long-Term Growth Framework



Source: J.P. Morgan, Company Reports

Long-term guidance has been reaffirmed even following a leadership change

It is understandable if investors feel that the long-term outlook for OCI revenues, and in turn total company revenues, are quite aggressive given the significant demand visibility that needs to be underwritten. That said, Oracle has reaffirmed its long-term outlooks despite the recent CFO change, which helps us drive incremental confidence in the plans outlined at the investor day.

Hilary Maxson joined Oracle as its CFO in 2026, bringing with her extensive experience across infrastructure, industrial, and software businesses. Her prior role as executive vice president and group chief financial officer at Schneider Electric, a global leader in energy management and automation, serves to highlight the importance of experience in scaling infrastructure solutions for the finance leadership role at Oracle.

2. Customer concentration can lead to bumps, but broader industry demand provides a safeguard

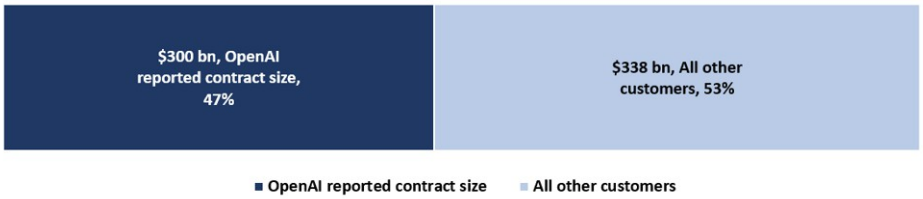
Concentration among few customers creates specific event risk

Oracle and OpenAI reportedly have a $300 bn cloud computing agreement for a 5-year period starting in 2027, which has been reported to include a delivered capacity of 4.5GW underlying the revenue driver. The latest RPO of $638 bn capturing all of the OpenAI commitment, as referenced multiple times by the company in reassuring investors of the demand visibility, implies that a sizeable portion of the outstanding RPO is comprised of one single customer.

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Figure 6: OpenAI's Portion of Total RPO Estimated by JPM

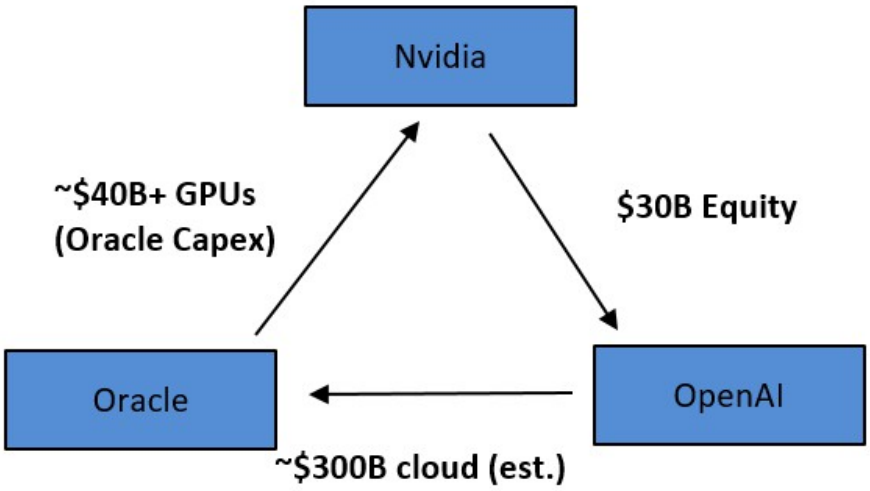


Source: Media reports, J.P. Morgan

Circular financing adds nuances to investor sentiment, although it's not broad-based for Oracle

As shown in the Figure below, the circular financing support for OpenAI by Nvidia, supporting the commitment from OpenAI to Oracle, and Oracle's $40 bn+ purchase of GPUs from Nvidia, is a further challenge to investor sentiment. However, we believe this is a specific customer instance and unlikely to become broad-based in supporting the diversified customer footprint supporting the backlog/ RPO.

Figure 7: Simplified Circular Financing



Source: J.P. Morgan, Company Reports

OpenAI's recent funding raises and access to debt markets for public companies should provide investors comfort

Investors have been less concerned around the intent of the frontier model companies in relation to keeping up with commitments, and have expressed more concerns around access to a consistent flow of capital to provide visibility into liquidity to meet promised payments. However, we believe OpenAI's latest funding in March of 2026 to the magnitude of $122 bn with major investors including Amazon, Nvidia, and SoftBank should help allay investor fears around access to capital for the company. Additionally, behind the invested capital sits a business whose revenue is compounding extraordinarily fast, with recent reports estimating OpenAI's annualized revenue on the

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order of $20-25 bn, or roughly $2 bn / month, by spring 2026 (source). Also in the longer run, the current access to the debt markets demonstrated by the public companies investing in AI infrastructure should provide investors with comfort around the ability of the customer to meet its payment commitments over time, while compute demand from the customer remains less in question.

Broader industry demand and fungible infrastructure provide healthy backstop

While we cannot rule out company-specific events presenting risks to the RPO over time, the broader industry demand for compute infrastructure is demonstrated by customer willingness to pre-pay for chips in their compute contracts. As a result, we expect broader industry demand strength to act as a backstop to any specific customer risk with the fungible nature of the infrastructure providing flexibility to deploy the compute to new contracts should any existing contracts fall through. For example, in F4Q26 (May-end), 35K GPUs from 59 separate customers were up for renewal, with 49% of those customers renewing for 92% of the 35K GPUs, with most of the remaining 8% subsequently sold to other customers within the quarter.

Broadening base of customers also mitigates risk over time, even though it will not mitigate near-term concentration

Beyond just OpenAI, Oracle has signed large slugs of business with the likes of xAI, Meta, Nvidia, AMD, and others, diversifying the large backlog it has accumulated. The company has leaned into the diversification topic a few times: at the October FAD, it disclosed $65 bn contracted within just 30 days across seven deals and four customers, none of which were OpenAI, and in F4Q26 noted four separate customers each contracting >$8 bn in the quarter. Additionally, beyond the AI-related logos, F4Q26 earnings saw a sequential increase of $85 bn in RPO, with Oracle calling out enterprise wins such as Vodafone and Claro, highlighting the expanding breadth of the customer base, which is the driver of visibility into strong industry demand beyond just a few customers.

3. Differentiation through a composite stack to build further

Edge in delivering infrastructure near- to medium-term differentiation, but progress to PaaS to drive longer-term differentiation

The near-term growth for Oracle in its OCI group is supported by strong scaling of capacity as well as efficiency of the compute delivered to customers; however beyond the near-term to medium-term, we expect the longer-term differentiation to stem more from a full-stack offering including both parts of the hardware stack as well as the layers of a software stack embedded in the offering.

We believe, currently, Oracle competes on performance and efficiency of the infrastructure translating into better price for the compute infrastructure instead of purely on availability, which is supported by third parties. SemiAnalysis has independently credited OCI with roughly a 20% capex advantage versus a leading neocloud, achieved by building on standard RoCE-over-Ethernet networking rather than costlier InfiniBand, sourcing Foxconn ODM servers, and financing the build at investment-grade as opposed to the rates of some neocloud peers. Its Acceleron architecture and the Zettascale10 cluster, engineered toward as many as 800,000 connected GPUs, are purpose-built for the frontier-scale training for the AI labs, and a first-of-its-kind 50,000-GPU AMD MI450 deployment gives Oracle silicon optionality at a moment when large buyers are considering alternatives to Nvidia-only pricing.

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Additionally, the capacity is being used, with Oracle reporting GPU utilization around 97.5% in its most recent quarter.

IaaS provides a wedge to drive platform adoption over time

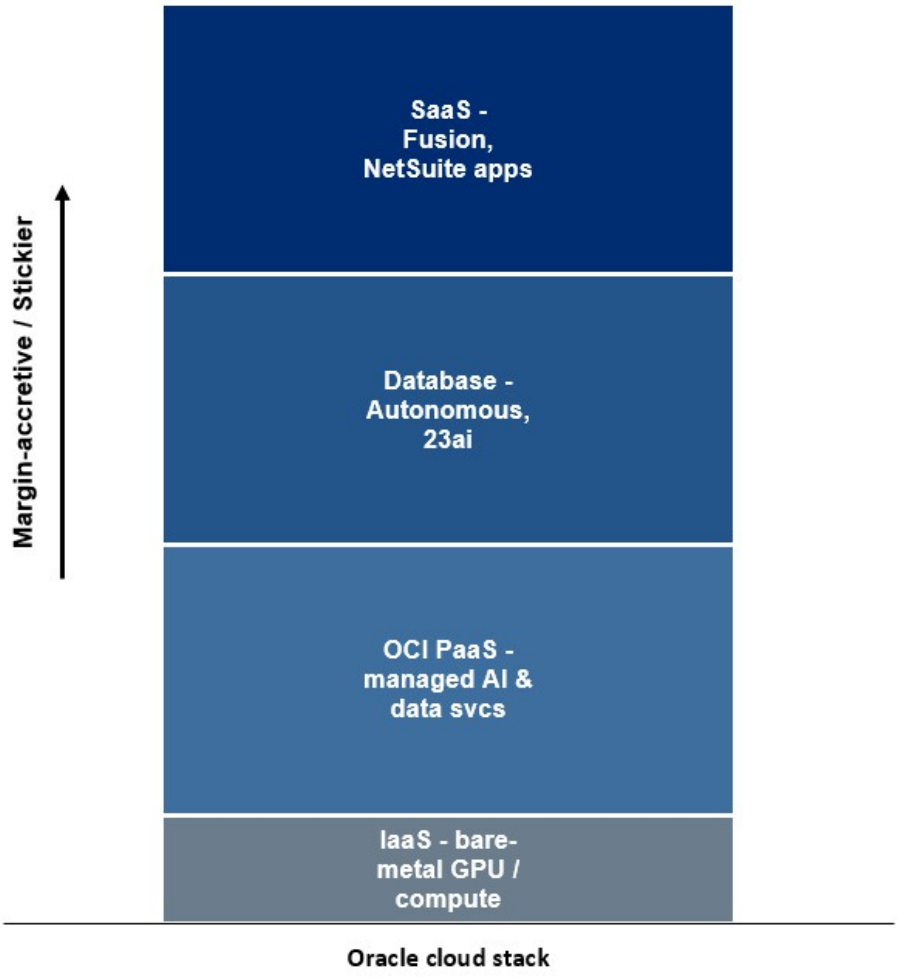
While the hardware layer choices (including OCI's Ethernet-RDMA networking (RoCEv2), ODM-direct sourcing from Foxconn) help deliver a cost efficient platform, they are not unique on a stand-alone basis. At the same time, Oracle has outlined expectations for chip neutrality after selling Oracle's Ampere stake and staying clear of custom silicon investments, while AWS (Trainium), Google (TPU), and Microsoft (Maia) all build their own accelerators.

As a result, the durable differentiation sits above bare metal and Oracle is one of the only GPU-scale clouds that also owns the enterprise system of record, and since 2024 it has been converting that into an AI on-ramp with products such as AI Vector Search in Database 23ai/26ai (inference and RAG against data already in the production database, no ETL, and full security), and Exadata Exascale. Data gravity, higher-margin platform services, and Fusion/NetSuite attach are the mechanisms that would let Oracle earn better margins and stickier revenue than a bare-metal GPU offering over time. While these offerings are less attractive to a customer that is not already using Oracle, it helps to tilt the argument into Oracle's favor when a customer is already a heavy user of the platform. In essence, the bare-metal business can prove to be the wedge or entry point into a new customer looking for compute and set up Oracle's relationship and engagement across products to increase with the customer. Oracle can leverage at-scale compute to win the deal and the customer relationship, then spend the multi-year life of that contract driving attach via Oracle Database, autonomous data services, and the rest of the PaaS stack. Each layer it attaches is stickier and higher-margin than the compute beneath it, and over time the lower-margin IaaS book could turn into a durable platform-as-a-service business.

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Figure 8: Higher Levels of the Stack are More Margin Accretive



Source: J.P. Morgan

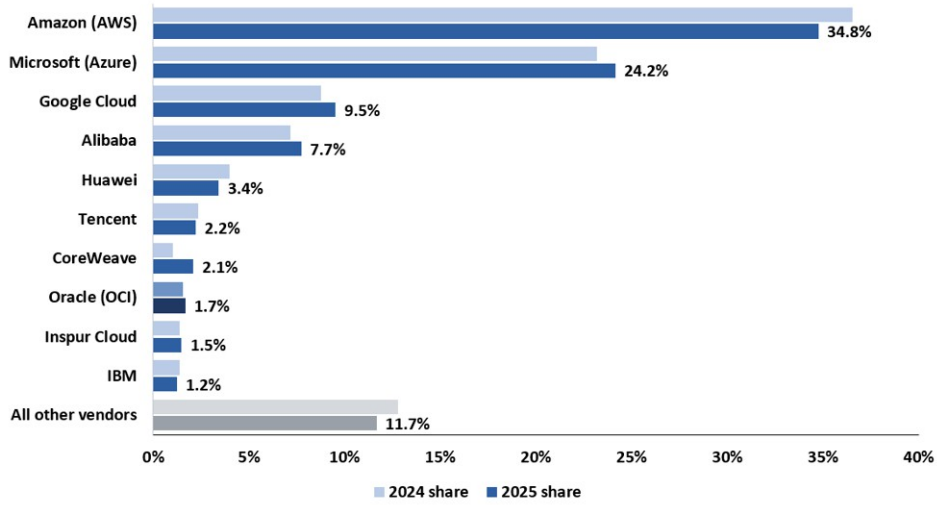
Long runway to growth for OCI

As shown in the Figure below, despite the rapid scaling that Oracle has been delivering in recent years, Gartner estimates Oracle still accounts for a modest single digit percentage of the IaaS market and we believe there remains significant headroom for growth for Oracle, particularly with customers looking for alternate capacity providers.

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Figure 9: Gartner Share Data for IaaS Market (2025)



Source: Gartner, J.P. Morgan

4. Impact of AI cloud ramp on margins

Gross margins in the 30%-40% range for AI infrastructure

Oracle management has outlined its expectations for its AI infrastructure build out to derive gross margins in the 30%-40% range. As shown in the illustrative example from the company at its recent Financial Analyst day, the company expects to drive revenue of about $10 bn for every GW of capacity it supports, with associated costs in relation to land, data center, power, compute, networking and storage leaving room for 35% gross margins. Land, data center and power related costs are quantified by the company to be 35% of total, or ~$2 bn/ GW / year relative to the compute, networking, and storage related depreciation expense of $4.2 bn/ GW / year. The six-year depreciation cycle implies total depreciation-related expenses for IT equipment in the data center to be $25 bn/ GW, which to us appears more representative of the current generation of GPUs rather than the upcoming generations, which we expect will be more expensive.

Figure 10: Simplified AI Infrastructure Economics

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Total
Revenue	**10,000**	**10,000**	**10,000**	**10,000**	**10,000**	**10,000**	**60,000**
Cogs - Compute, network, and storage	4,225	4,225	4,225	4,225	4,225	4,225	**25,350**
Cogs -Land, data center, and power	2,275	2,275	2,275	2,275	2,275	2,275	13,650
Total COGS	**6,500**	**6,500**	**6,500**	**6,500**	**6,500**	**6,500**	**39,000**
% of revenue	65%	65%	65%	65%	65%	65%	65%
Gross Profit	**3,500**	**3,500**	**3,500**	**3,500**	**3,500**	**3,500**	**21,000**
Assumed gross margin	*35%*	*35%*	*35%*	*35%*	*35%*	*35%*	35%

Source: Company reports, J.P. Morgan

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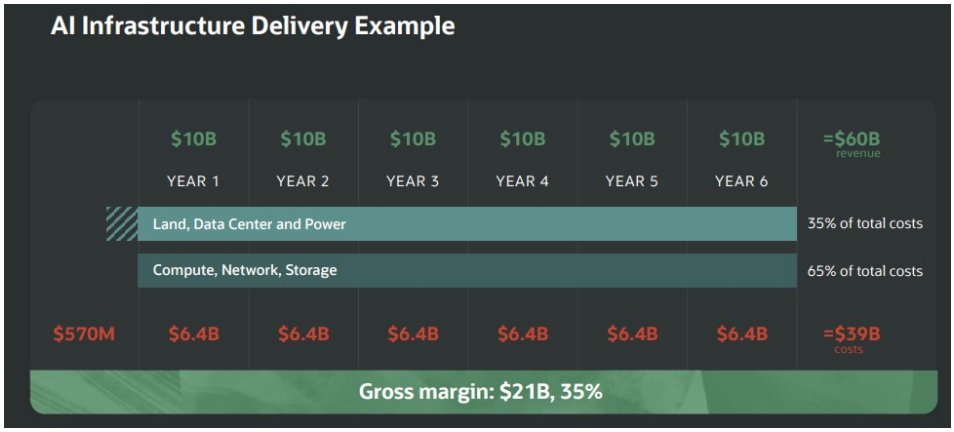
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Impact on gross margins from rapid ramp is temporary

AI compute companies have slightly different strategies currently around the land, power and construction of the data center, while almost all are owning and funding the purchase of the IT equipment themselves, with certain companies like Nebius assembling servers in-house to find a cost advantage relative to peers. The strategies around the land, power and construction of the data center can range from completely owning and developing all in-house to using third parties across all, which impacts the capital spend appropriated to the construction phase recognized by the AI compute company relative to recognizing higher ongoing expenses in a typical capex for opex trade-off. However, in most of the different approaches for land, power, and data center construction, the associated expense will start to be recognized on the P&L ahead of the revenue recognition as fitting in the equipment and subsequently testing the capacity before handing it over to the customer to recognize revenue takes time, which drives a challenging margin outcome for the short period of time between data center shells being ready relative to generating and accruing revenue. As highlighted by the Figure below, the period of time where the company has to incur expenses prior to recognizing revenues is short-lived, and the margin headwinds are temporary, rather than structural. The number of projects running concurrently will determine the magnitude of the drag, and the time period associated with the temporary headwind will be determined by Oracle's ability to bring online compute capacity for delivery quickly following receipt of handover of the data center.

Figure 11: Simplified AI Infrastructure Economics from Oracle



Source: Company reports, J.P. Morgan

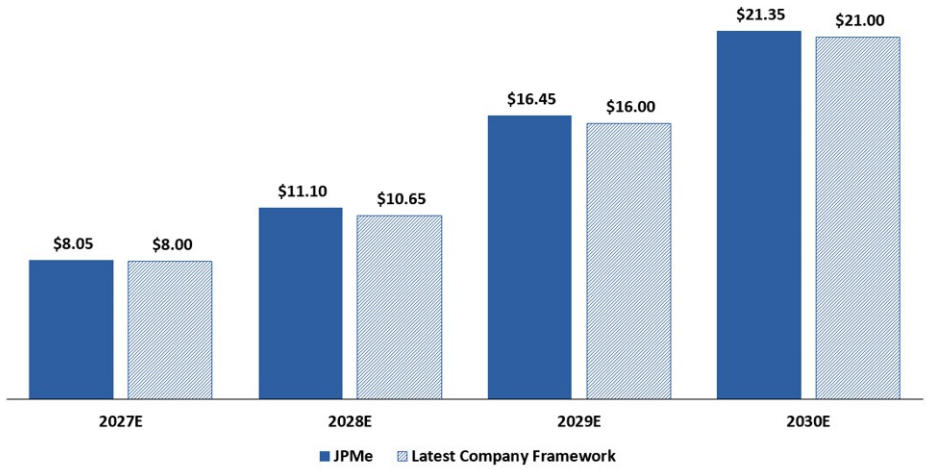
Upside is captured in earnings rather than margins

As shown in the Figure below, outlining EPS growth outlook from the management team and side-by-side our JPM estimates, which are modestly ahead of management's previously outlined outlook on account of the upsides already evidenced in relation to revenues, the ~33% revenue CAGR through to FY30 forecasted by JPM is expected to translate to a ~29% EPS CAGR over the same time frame. The gross margin moderation through the FY25 to FY30 time period is led by the higher mix of revenue attributed to lower-margin AI infrastructure revenues, but as highlighted by Oracle, AI infrastructure / compute revenue typically has a 30%-40% gross margin which delivers earnings accretion helped by accretion to both gross profit dollars and operating profit dollars, although not necessarily to margin percentages.

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Figure 12: JPMe vs. Oracle Long Term EPS Framework



Source: J.P. Morgan, Company Reports

BYOH trend improves margins and reflects undersupply backdrop in the industry

An increasing trend being observed across data center compute customers is the rise in customer willingness to prepay for part or all of the infrastructure spend required for their specific project or pay for the hardware, which lowers the portion of the capex and depreciation to be carried on Oracle's P&L, and improves gross margin percentages. As highlighted in Oracle's latest earnings call, most of the $67 bn sequentially added to AI infrastructure contracts last quarter were BYOH/BYOC or prepaid contracts, bringing the total value of BYOH/BYOC contracts to $75 bn in the $638 bn RPO reported as of the last quarter.

As shown in the simplistic representation of the Bring-your-own-hardware, which in essence is Bring-your-own-chip, we estimate that gross margin percentage over the period of the contract will rise to ~48%, although gross profit dollars remain intact.

Table 2: Simplified BYOC Model Example

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Total
Revenue in Typical Model	10,000	10,000	10,000	10,000	10,000	10,000	60,000
Revenue in BYOC Model	**7,254**	**7,254**	**7,254**	**7,254**	**7,254**	**7,254**	**43,523**
COGS - Compute, network, and storage	4,225	4,225	4,225	4,225	4,225	4,225	**25,350**
--- Compute only	2,746	2,746	2,746	2,746	2,746	2,746	16,478
--- Networking, Storage etc	1,479	1,479	1,479	1,479	1,479	1,479	8,873
COGS -Land, data center, and power	2,275	2,275	2,275	2,275	2,275	2,275	13,650
Total COGS excluding Compute	**3,754**	**3,754**	**3,754**	**3,754**	**3,754**	**3,754**	**22,523**
% of revenue	52%	52%	52%	52%	52%	52%	52%
Gross Profit	**3,500**	**3,500**	**3,500**	**3,500**	**3,500**	**3,500**	**21,000**
Gross Margin	*48%*	*48%*	*48%*	*48%*	*48%*	*48%*	*48%*

Source: Company reports, J.P. Morgan

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Other margin levers available: pricing, diversification of infrastructure as well as greater stack sale

While the AI compute infrastructure build might feature less than ideal gross margin percentages, despite accretive gross margin dollars and earnings, the scaling of the infrastructure can be helped through other levers, including:

1. Better pricing to leverage the tighter supply backdrop, including contracting capacity closer to delivery of the data center

2. Lower cost of the infrastructure by diversifying infrastructure choices, including leveraging chips and networking products from multiple suppliers. As evidenced by the top 4 US hyperscalers, the large scale of infrastructure can allow for leverage in relation to exploring the use of white box networking, storage and in-house compute chipset designs which can enable lower costs in the medium- to long-term

3. Delivery of attached offerings with the compute at higher margins, which includes the sale of AI database services with Enterprise inference capacity

5. Capital needs for Oracle

The investor base is still looking to gain comfort around the transformation in capital intensity

Oracle has, in just a few years, turned a cash-generative software model that historically produced very strong free cash flow into one of the more capital-intensive and levered businesses across the cloud mega-cap cohort. The transformation is justified by the necessity to make capital investments ahead of the monetization into revenue, and in an underlying industry backdrop of strong compute infrastructure requirements, we expect to see further ramp in investments to support stronger revenue growth. We believe the valuation for ORCL shares is reflecting the concern of the traditional investor base in relation to the capital intensity of the infrastructure business and the increasing mix of infrastructure revenues making the cash flow generation of the underlying software business less relevant to the financial outcomes of the company in the future.

Capital investments ramping to ~$140 bn by end-of-decade in our forecasts

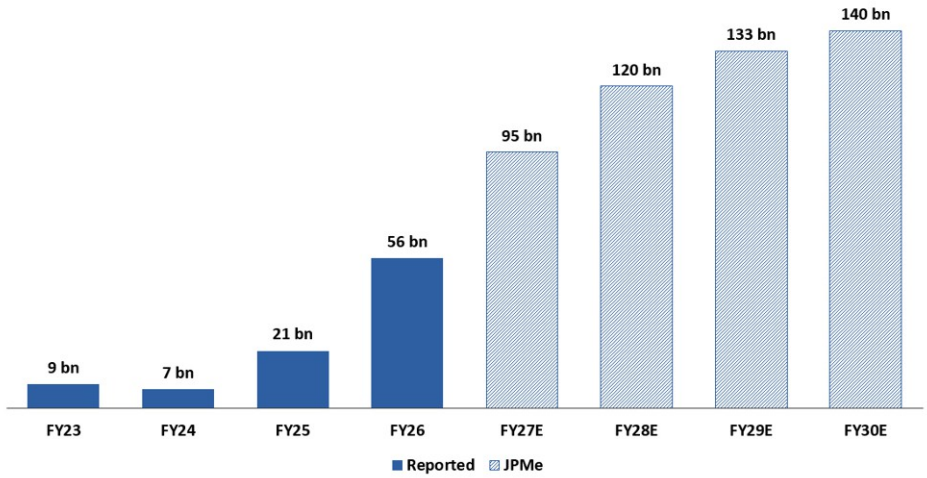
We are modeling the higher pace of capital investments to sustain, and with modest growth of 26% y/y, 11% y/y, and 6% in FY28, FY29, and FY30 respectively, following the 70% increase to $95 bn in FY27E; our forecasts outlined above are materially above those implied by the company in their long-term outlook as we forecast the demand backdrop to lead the company to invest in growth in the out-years.

As shown in the Figure below, we expect the company to undergo a significant capex ramp in the coming years, with the modest capex investments of ~$9 bn in FY23 and ~ $7 bn in FY24 giving way to ~$21 bn in FY25, ~$56 bn in FY26, and our forecast for ~ $95 bn in FY27, and ~$120 bn in FY28E, and ~$133 bn in FY29E and ~$140 bn in FY30.

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Figure 13: JPM Gross Capex Estimates

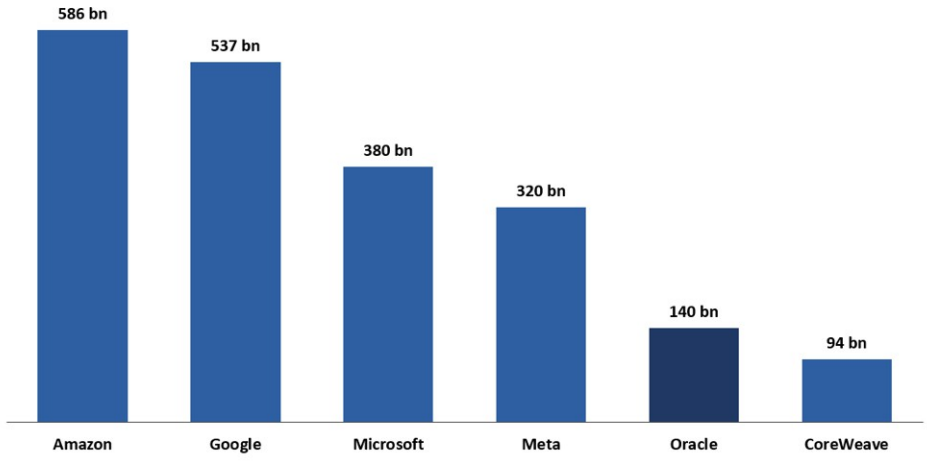


Source: Company reports, J.P. Morgan

Capital investments will still be below hyperscalers with the company still playing catch up on total capacity

While the ~$140 bn in capital investment forecasted for FY30 will screen as a paradigm shift in capex for the company, we believe the capital investment pace will still be below the major hyperscalers; for example JPMe forecasts for Microsoft capex in 2030 of $380 bn, Google capex of $537 bn in 2030, Meta capex of $320 bn. That said, at the same time, the investment pace will be ahead of neoclouds like CoreWeave (JPMe capex of $94 bn in 2030).

Figure 14: J.P. Morgan Capex Estimates



Note: Oracle capex estimate is FY30
Source: J.P. Morgan

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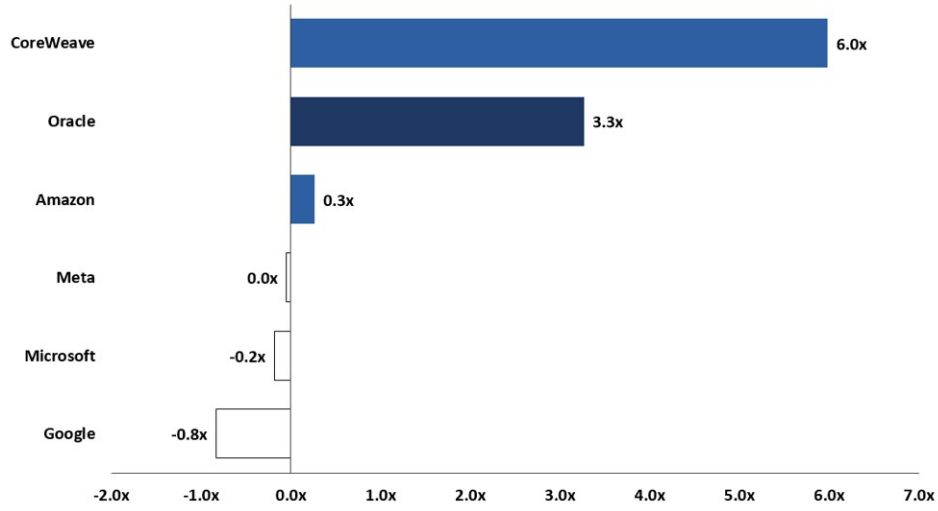
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Net leverage exceeding 3x and gross debt of $129 bn already to fund current investments

Oracle already has $129.5 bn of gross debt as of the last quarter end, up from $75 bn in FY22, and ended F4Q26 with net leverage of 3.3x, which is the highest amongst the hyperscalers. Oracle's recent debt offerings include a $25 bn bond offering in February 2026 as well as ~$18 bn in September 2025 (six tranches, 4.45-6.10%, maturing out to 2065).

Figure 15: Net Leverage Comparison



Source: J.P. Morgan

Credit ratings strained by the changes to the leverage profile

The change in the leverage profile for the company has been accompanied by a change in credit ratings for the company, with Moody's (Baa2) moving its outlook to Negative while affirming the rating, while on July 9, 2026 S&P moved Oracle's rating to BBB-, the lowest investment-grade rung and one notch above high-yield, citing rising debt and the counterparty concentration from the ~$300 bn OpenAI contract (Fitch rating is stable at BBB). The company will likely have to contend with higher interest expenses and higher rates in its long-term plans, if it continues to finance deals of the same nature.

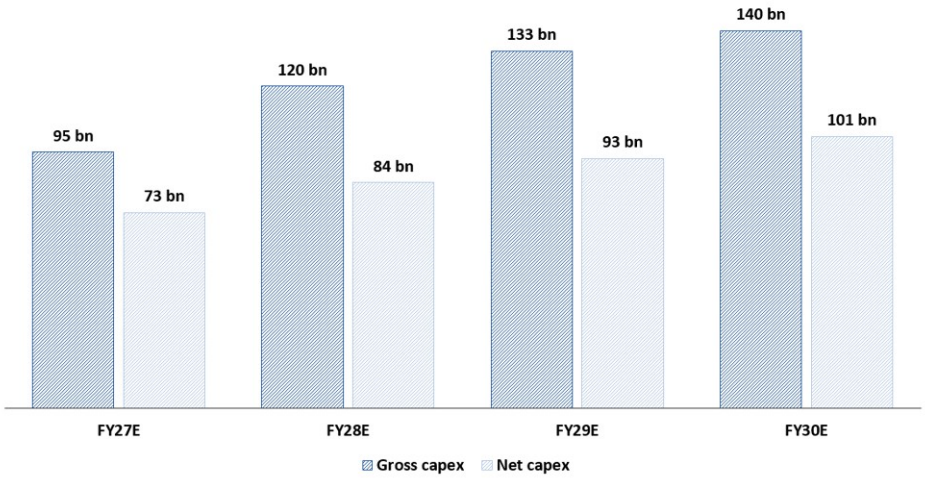
However, prepayments and customer-backed capital raises can ease the burden

As shown in the Figure below, the net capex forecasts are lower relative to the gross capex forecasts outlined above, with customers opting to pre-pay for the capital to help persuade Oracle to choose the particular customer for the specific capacity it is building, particularly given the compute constrained industry backdrop. We expect pre-payments to become a strong support for the capital plans for Oracle given the challenges associated with raising material capital at higher interest expense rates. Additionally, we expect guarantees from customers or suppliers with better credit ratings than Oracle to likely become more common to enable the company to lower borrowing costs.

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Figure 16: JPM Gross vs. Net Capex Estimates



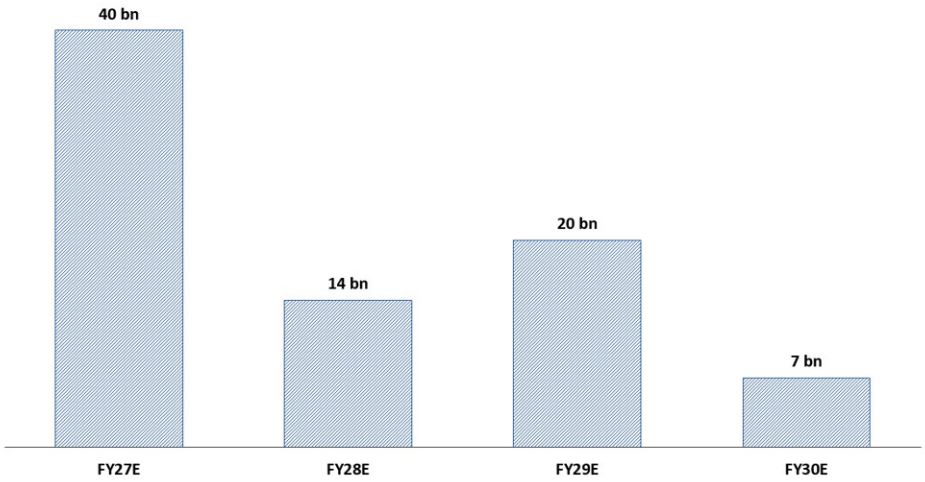
Source: Company reports, J.P. Morgan

Forecast ~$20 bn of capital raises every year to support investment pace

Despite a significant portion of gross capex to be funded by customer pre-payments, we forecast continued sizeable capital raises for the company to be able to fund the capital investments to support revenue growth as well as potential upsides to the 2030 plans outlined by the company at the Financial Analyst Day last year.

As shown in the Figure below, we estimate $40 bn of capital raise in FY27 with a balance of equity and debt, and another $14 bn in FY28, $20 bn in FY29 and $7 bn in FY30, which equates to an average of $20 bn each year through to FY30.

Figure 17: JPM Estimated Capital Requirements



Note: We estimate FY27E capital requirements to be 50:50 Debt vs. Equity. FY28E onward assumes only Debt.
Source: Company reports, J.P. Morgan

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6. Application business represents the highest margin and defensible opportunity with Enterprises

OCI and IaaS segment already incorporates Oracle's Autonomous AI Database with strong growth opportunity

One of the more important innovations Oracle has made to the database franchise has been a multi-cloud offering, and the company is leveraging the opportunity to offer its database services to customers through all three major US hyperscalers (Azure, AWS and Google Cloud) in addition to OCI infrastructure. The multi-cloud database offering is now live across roughly 33 Azure regions, ~20 on AWS, and ~14-15 on Google, and it is Oracle's fastest-growing business by a wide margin, compounding +1,529%, +817%, +531%, and +404% y/y across different metrics in the last four quarters, with the deceleration only attributable to a much larger base and the challenge of growing on top of large numbers. Logos such as Air France-KLM, Activision, PepsiCo, Vodafone, and Fidelity are already using the product, and Chairman Larry Ellison has floated the aspiration of ~$20 bn of multicloud database revenue within five years.

Database management is a rapidly growing market and Oracle remains poised to benefit

The ~$160 bn DBMS market is growing ~18% in 2026 (Gartner), and the stronger growth of cloud database services carries roughly two-thirds of that spend. The competitive landscape is tough with hyperscaler native engines (Aurora and Redshift at AWS, Cosmos DB and Azure SQL at Microsoft, BigQuery and AlloyDB at Google) being the default landing zone for a workload leaving the data center, PostgreSQL is the default for anything greenfield, and data-cloud platforms (Snowflake, Databricks, MongoDB) compete for the analytical and operational edges of the estate. Oracle cloud database growth of 29% y/y and multicloud booking of +325% y/y in F4Q26 suggest that the company is seeing strong success in driving customers that are leveraging Oracle databases on-prem to cloud despite the tough competitive landscape.

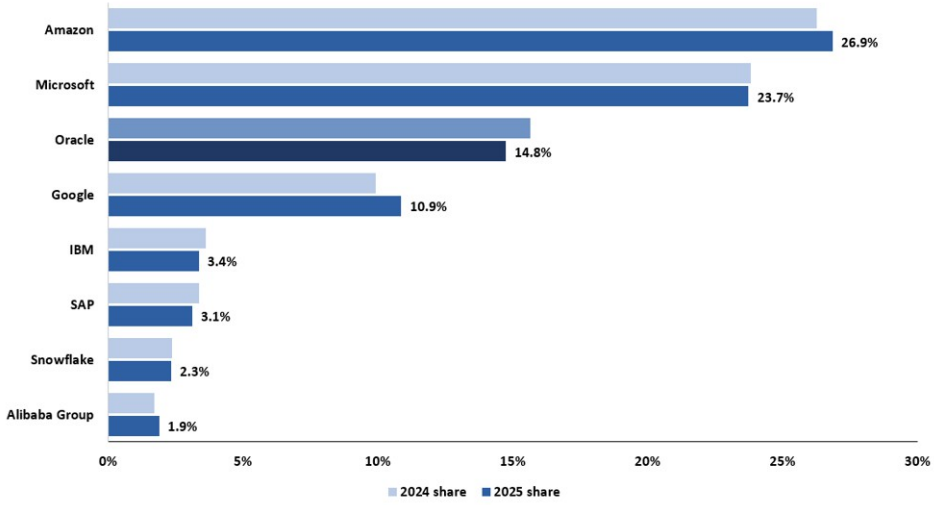
Market share of the database market has moderated for Oracle, and maintaining share will be key

Despite the success in relation to Cloud databases, Oracle's market share record has been mixed as it has slipped from category leader (through 2019) to ~#3 in DBMS revenue behind AWS and Microsoft, likely with the company's ability to win net new customers and workloads impacted by the intense competition while strong growth is likely secured by the migration of existing customers from on-premise to cloud.

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Figure 18: Worldwide DBMS Revenue Share

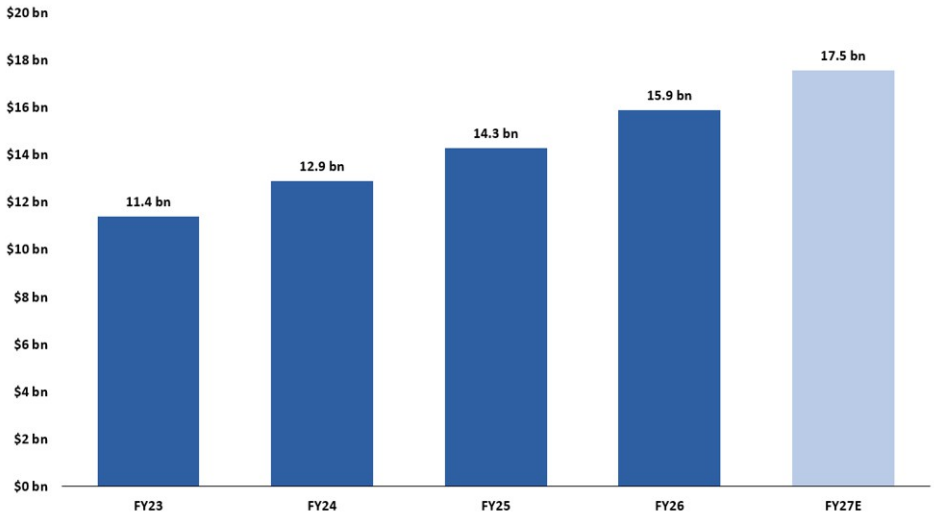


Source: Gartner, J.P. Morgan

Beyond databases, Cloud applications present growth opportunities as well

In the recent segmentation changes, Oracle now groups together its SaaS businesses as Cloud Applications, which include Oracle Fusion Cloud ERP/HCM/SCM/EPM, Oracle Cloud CX, NetSuite Cloud ERP, and other application subscriptions. As shown in the Figure below, Cloud applications revenue expanded 11% y/y from FY25 to FY26, suggesting that the applications remain a robust growth opportunity for the company, and more importantly a high margin business with robust growth which will support margin outcomes as well.

Figure 19: Cloud Application Revenue Annually



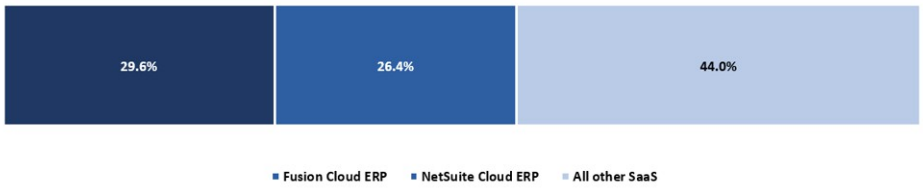
Source: Company reports, J.P. Morgan

While we don't have a detailed breakdown for the entire SaaS business, based on prior segment reporting, we estimate Fusion Cloud and NetSuite together comprise ~55-60% of Oracle SaaS revenues, with Fusion contributing ~$6 bn and NetSuite contributing ~

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$4.4 bn of annualized revenue as of F4Q26.

Figure 20: FY26 Breakdown of Cloud Application Revenue



Source: Company reports, J.P. Morgan

New verticals for Cloud applications growth while leveraging incumbency of horizontal Oracle database

Oracle's large installed base of customers for its database business is proving to be a strength in pursuing vertical-focused growth opportunities as well. The clearest example is Oracle Health, the ~$28.3 bn Cerner acquisition that closed in 2022 and has grown below double digits since, where Oracle is targeting a return to double-digit growth in FY27 on a new AI-native EHR (electronic health records), with Department of Veterans Affairs rolling it out in 2026. The same installed base that anchors the database business is increasingly becoming a distribution channel for AI, as Oracle embeds AI agents and generative features into Fusion and its industry applications and sells them into a customer base it already owns.

Software segment challenged by transition from on-prem to public cloud

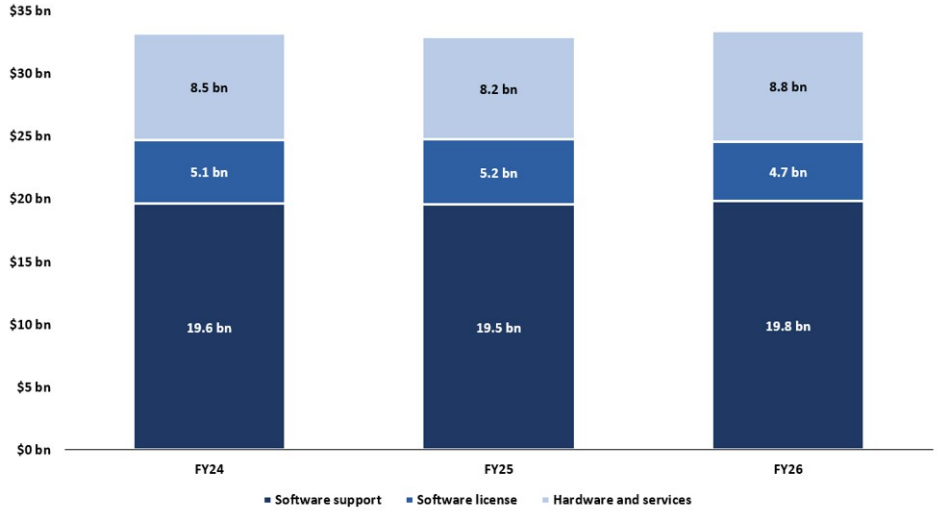
Oracle reports a Software segment in its new disclosures, which comprises both software license and software support revenues; software licenses include perpetual licenses for Oracle databases, middleware, and applications. As highlighted in the disclosures from FY25, wherein the company reported "Cloud license and On-prem license" to expand only 2% in FY25 in USD terms and 3% in constant currency terms, we believe the transition from on-premise to cloud, while a tailwind to Cloud applications segment, is impacting growth for Software segment with a high contribution from on-premise software.

Viewed another way, the non-Cloud segments, including Software, Hardware and Services tracked to $33.4 bn in FY26, about ~50% of revenue, and barely grew, expanding at 1% y/y. On a three-year basis, revenues in aggregate for the non-Cloud business segments have largely been flat with FY24 revenues tracking to $33.2 bn, FY25 to $32.9 bn, and FY26 to $33.4 bn.

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Figure 21: Non-Cloud Revenue Segments



Source: Company reports, J.P. Morgan

The stagnation of revenues, however, does not mean disruption risk

Despite the stagnation of growth for the non-Cloud businesses for Oracle, including Software, we are less concerned about disruption risk. Oracle's database remains the system of record for the world's most mission-critical workloads, and the switching costs around it are among the highest in enterprise software. Real Application Clusters, Exadata, and a converged engine that avoids moving data between systems make a migration off Oracle sometimes a multi-year, high-risk, expensive undertaking that most large customers will not attempt for a running production workload. In relation to developer mindshare, Oracle remains the most popular database in the world (DB-Engines), which speaks to a franchise that is being defended rather than in decline. This stickiness protects a high-margin license-support annuity that has compounded for decades and we would encourage investors to think of it as the cash generation engine funding in part the capital-intensive infrastructure build-out.

7. Valuation upside from a combination of profit growth and re-rating opportunity

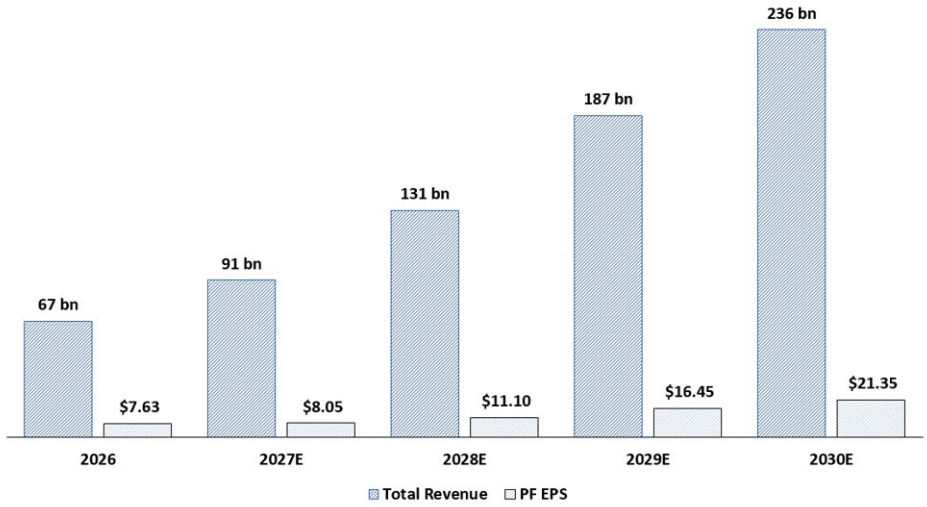
Forecast 33% revenue CAGR and 29% EPS CAGR through to FY30

As shown in the Figure below, we are forecasting a 33% revenue CAGR through to FY30 and 29% EPS CAGR through to FY30, which incorporates gross margin dilution led by the increasing mix of revenues from the infrastructure business (at 30%-40% gross margins), offset by tight operating expense discipline, which helps maintain a robust earnings growth trajectory.

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Figure 22: JPM Total Revenue and PF EPS Estimates

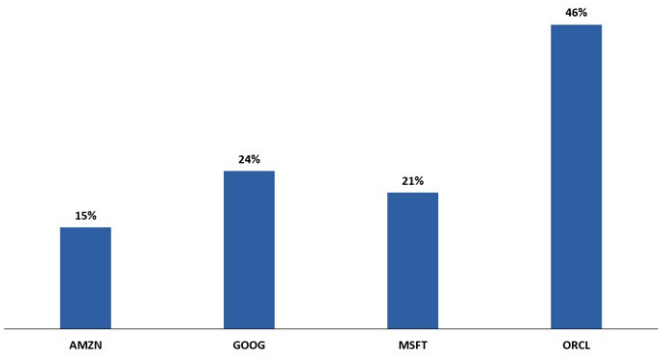


Source: Company reports, J.P. Morgan

Led by concerns around magnitude of capital raises, ORCL shares are trading at the lowest multiple of the mega-caps

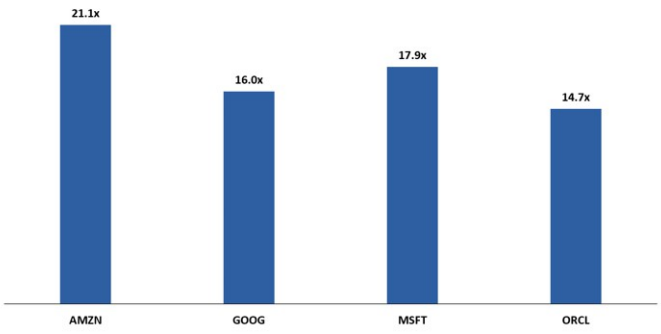
ORCL shares are trading at the lowest growth-adjusted multiple amongst the hyperscalers looking to build AI infrastructure for customer demand, both on an EV/PF operating income as well as EV/GAAP operating income basis.

Figure 23: CY27E Revenue Growth



Source: J.P. Morgan, Bloomberg Finance L.P.

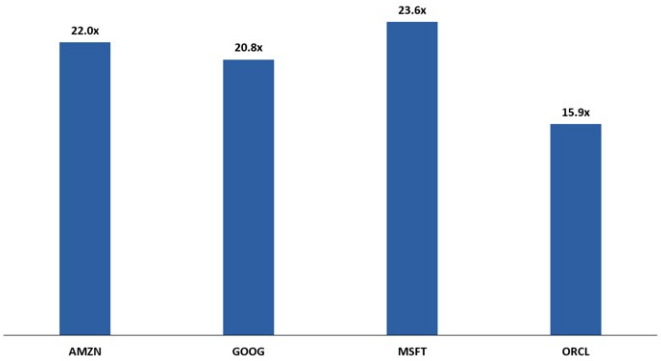
Figure 24: CY27E EBIT Multiple



Source: J.P. Morgan, Bloomberg Finance L.P.

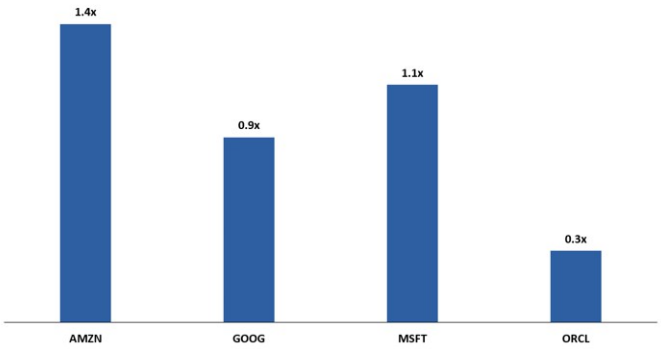
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Figure 25: CY27E P/E Multiple



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 26: CY27E P/E/Revenue Growth Multiple



Source: J.P. Morgan, Bloomberg Finance L.P.

Dec-27 Price target of $200 incorporates both the profit growth as well as valuation multiple re-rating

The capital needs highlighted above lead us to forecast that Oracle's net debt position will continue to increase, with $140 bn in net debt ending calendar 2027 and $171 bn ending calendar 2028; despite the incremental mix of the enterprise value attributable to debt, we see a sizeable opportunity for equity valuation upside from the combination of strong profit growth as well as re-rating opportunity with the valuation comparables highlighting the discount to the peer group that the company is trading at.

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Table 3: Price Target Math

Price Target Math	CY27E	CY28E
Non-GAAP Op. Income	**43,084**	**61,881**
EV/ PF Op. Income Multiple	14.5x	
Target EV/ OP Multiple		13x
Enterprise Value	**625,315**	**808,474**
Net debt	140,421	171,344
Equity Value	**484,894**	**637,130**
Shares Outstanding	3,163	3,186
Implied Target Share Price		**200.00**
Current share price	$153.28	$153.28
Upside to current share price		30%
Memo:		
Implied Revenue	5.8x	5.1x
Implied EBITDA (w/ GAAP OpInc)	11.4x	9.9x
Implied EBITDA (w/ PF OpInc)	10.2x	8.8x
Memo:		
Revenue	108,620	158,555
EBITDA (w/ GAAP OpInc)	54,697	81,596
EBITDA (w/ PF OpInc)	61,582	91,415

Source: J.P. Morgan

Valuation discount to peers highlights overblown investor concerns

As shown in the Figure below, the average EV / PF Operating income and EV / GAAP Operating Income for the two peer groups which includes AI infrastructure builders, including Amazon, Google, Microsoft, Meta, Equinix and DigitalOcean, and the Enterprise Software companies including Salesforce, SAP, Adobe, ServiceNow, and Workday, highlight the discount that ORCL shares are trading at. Our Dec-27 price target of $200 is based on our 2028 estimates and on a 13x EV / PF Op inc, which is at a discount to peers.

Table 4: Peer Group Multiple Comparison

	EV Build						Op Inc Metrics															
Ticker	Price (8/12/2026)	Market Cap ($M)	Shares (M)	Cash ($M)	Debt ($M)	EV ($M)	CY26E PF Op Inc	CY27E PF Op Inc	CY28E PF Op Inc	CY26E GAAP Op Inc	CY27E GAAP Op Inc	CY28E GAAP Op Inc	CY26E PF Op Margin	CY27E PF Op Margin	CY28E PF Op Margin	CY26E GAAP Op Margin	CY27E GAAP Op Margin	CY28E GAAP Op Margin	EV/CY26E PF Op Inc	EV/CY27E PF Op Inc	EV/CY28E PF Op Inc	EV/CY26E GAAP Op Inc	EV/CY27E GAAP Op Inc	EV/CY28E GAAP Op Inc
AI Infrastructure Builders																								
GOOG	$342.37	4,187,185	12,230	242,474	100,613	4,045,324	203,030	253,002	308,243	172,270	217,135	265,923	47.0%	46.5%	46.4%	39.9%	39.9%	40.0%	19.9x	16.0x	13.1x	23.5x	18.6x	15.2x
MSFT	$492.43	3,656,561	7,426	76,843	106,888	3,686,606	180,269	210,710	254,423	167,372	197,187	238,273	50.2%	49.4%	49.4%	46.6%	46.2%	46.3%	20.5x	17.5x	14.5x	22.0x	18.7x	15.5x
AMZN	$267.28	2,882,966	10,786	122,988	145,675	2,905,653	109,782	149,418	180,422	109,782	149,418	180,422	13.3%	14.8%	16.5%	13.3%	14.8%	16.5%	26.5x	20.7x	16.1x	26.5x	20.7x	16.1x
META	$578.85	1,474,624	2,548	90,260	83,664	1,468,028	87,669	102,516	121,338	87,461	102,619	123,452	34.5%	33.6%	33.7%	34.4%	33.7%	34.2%	16.7x	14.3x	12.1x	16.8x	14.3x	11.9x
EQIX	$1,069.17	100,497	99	2,224	21,989	120,262	2,443	2,797	3,215	2,371	2,710	3,075	23.8%	24.7%	25.8%	23.1%	23.9%	24.7%	51.3x	44.8x	39.0x	52.8x	46.2x	40.7x
DOCN	$133.37	15,682	118	767	921	15,836	245	356	600	109	196	373	20.8%	19.7%	22.3%	9.2%	10.8%	13.9%	64.5x	44.4x	26.4x	145.5x	80.8x	42.4x
Average							97,240	118,300	144,707	89,894	110,044	135,253	31.6%	31.4%	32.3%	27.8%	28.2%	29.3%	33.2x	26.3x	20.2x	47.8x	33.2x	23.6x
Median							98,725	121,467	150,880	98,621	121,518	151,937	29.2%	29.2%	29.7%	28.8%	28.8%	29.5%	23.5x	19.1x	15.3x	25.0x	19.7x	15.8x
Enterprise Software																								
CRM	$193.32	158,329	819	11,837	39,944	186,436	15,788	17,577	19,896	9,294	11,209	13,386	34.3%	35.1%	36.1%	20.3%	22.4%	24.3%	11.9x	10.6x	9.4x	20.1x	16.6x	13.9x
SAP	$204.15	250,801	1,229	13,269	10,012	247,544	13,577	15,685	18,103	13,150	15,256	17,585	29.2%	30.2%	31.2%	28.3%	29.4%	30.3%	18.2x	15.8x	13.7x	18.8x	16.2x	14.1x
ADBE	$258.75	102,853	398	5,626	6,645	103,872	11,969	12,929	14,346	9,332	10,309	11,505	44.9%	44.8%	44.8%	35.0%	35.7%	35.9%	8.7x	8.0x	7.2x	11.1x	10.1x	9.0x
NOW	$124.94	129,188	1,034	4,664	7,517	132,041	5,198	6,243	7,619	1,767	2,927	4,001	31.5%	32.4%	33.6%	10.9%	15.2%	17.6%	25.9x	21.1x	17.3x	74.7x	45.1x	33.0x
WDAY	$175.29	43,297	247	4,353	2,974	41,918	3,230	3,737	4,393	1,270	1,767	2,448	30.5%	31.8%	33.7%	12.0%	15.0%	18.8%	13.0x	11.2x	9.5x	33.0x	23.7x	17.1x
Average							9,916	11,234	12,871	6,963	8,294	9,785	34.1%	34.9%	35.9%	21.3%	23.0%	25.4%	15.5x	13.4x	11.4x	31.5x	22.4x	17.4x
Median							11,959	12,929	14,346	9,294	10,309	11,505	31.5%	32.4%	33.7%	20.3%	22.4%	24.3%	13.0x	11.2x	9.5x	20.1x	16.6x	14.1x

Source: J.P. Morgan, Bloomberg L.P.

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Investment Thesis, Valuation and Risks

Oracle *(Overweight; Price Target: $200.00)*

Investment Thesis
We rate Oracle Overweight while establishing a Dec-27 price target of $200 (prior Dec-26 PT of $210) with significant upside to the current share price led by the combination of profit growth helped by largely similar margins on a strong revenue inflection associated with the capacity build-out, as well as an opportunity for a re-rating relative to the valuation multiple the shares trade at, which is a significant discount to comparable peers. Concerns around the capital intensity of the AI infrastructure build-out cycle as well as capital needs for Oracle in the coming years, in addition to near-term anticipation of an equity issuance, are leading ORCL shares to trade at a significant discount to both peer groups of AI infra builders as well as Enterprise software companies, leading to a strong upside opportunity from the current share price.

Valuation
Our Dec 2027 price target of $200 is based on ~13x EV/ pro forma operating income on our 2028 PF operating income forecast of $62 bn.

Risks to Rating and Price Target
Downside Risks

- **Customer concentration and counterparty credit.** We estimate OpenAI represents ~50%+ of Oracle's $638bn RPO, directly and via the Stargate project. Should the anchor tenant restructure, reduce, or be unable to pay on its commitments, the headline RPO would overstate collectible revenue, built capacity would need to be re-marketed, and our estimates and price target would carry downside risk.
- **Funding access and cost of capital.** Oracle's build depends on capital markets rather than operations, with free cash flow expected to remain deeply negative through at least FY30 and we expect in excess of $20 bn of average fundraising across debt and equity over the next few years. Should credit or equity market access tighten, ratings fall toward high-yield, or the cost of capital rise materially, Oracle could be forced to slow the build or fund it on dilutive terms, pressuring both estimates and the multiple.
- **Execution on capacity delivery and margin ramp.** The FY30 framework requires Oracle to deliver gigawatts of contracted capacity on schedule and for AI-cloud gross margins to converge from reported mid-teens toward the 30-40% lifetime target as utilization, scale, and higher-margin mix arrive. Delays in energizing data centers, or margins failing to ramp as the asset base scales, could result in downside risk to our estimates.

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Oracle: Summary of Financials

Income Statement - Annual	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	**57,399**	**67,358**	**90,953**	**131,488**	**-**
COGS	(16,926)	(23,022)	(37,339)	(64,365)	-
Gross profit	**40,473**	**44,336**	**53,613**	**67,123**	**-**
SG&A	(10,253)	(9,950)	(8,400)	(8,284)	-
Adj. EBITDA	**23,852**	**29,899**	**44,991**	**68,727**	**-**
D&A	(6,174)	(9,294)	(14,316)	(24,491)	-
Adj. EBIT	**25,034**	**28,925**	**37,628**	**51,398**	**-**
Net Interest	(3,578)	(4,598)	(6,727)	(7,663)	-
Adj. PBT	**21,514**	**27,772**	**31,121**	**43,935**	**-**
Tax	(1,715)	(2,468)	(4,834)	(7,355)	-
Minority Interest	-	-	-	-	-
Adj. Net Income	**17,283**	**22,235**	**24,983**	**35,148**	**-**
Reported EPS	4.34	5.83	6.23	9.29	-
Adj. EPS	**6.03**	**7.63**	**8.05**	**11.10**	**-**
DPS	**1.70**	**2.00**	**2.00**	**2.00**	**-**
Payout ratio	39.2%	34.3%	32.1%	21.5%	-
Shares outstanding	2,866	2,914	3,103	3,167	-

Balance Sheet & Cash Flow Statement	FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	10,786	31,289	29,966	10,000	-
Accounts receivable	8,558	10,385	13,993	20,387	-
Inventories	-	-	-	-	-
Other current assets	5,235	4,893	6,907	9,946	-
Current assets	**24,579**	**46,567**	**50,866**	**40,333**	**-**
PP&E	43,522	99,957	181,342	277,051	-
LT investments	-	-	-	-	-
Other non current assets	100,260	115,235	131,798	159,239	-
Total assets	**168,361**	**261,759**	**364,007**	**476,623**	**-**
Short term borrowings	7,271	7,199	7,199	7,199	-
Payables	5,113	10,977	15,988	22,801	-
Other short term liabilities	20,259	23,588	29,011	36,364	-
Current liabilities	**32,643**	**41,764**	**52,198**	**66,364**	**-**
Long-term debt	85,297	122,342	142,342	156,452	-
Other long term liabilities	29,452	54,597	71,913	99,721	-
Total liabilities	**147,392**	**218,703**	**266,453**	**322,537**	**-**
Shareholders' equity	20,969	43,056	97,553	154,086	-
Minority interests	-	-	-	-	-
Total liabilities & equity	**168,361**	**261,759**	**364,007**	**476,623**	**-**
BVPS	**7.52**	**15.05**	**32.61**	**50.45**	**-**
y/y Growth	*123.3%*	*100.2%*	*116.6%*	*54.7%*	-
Net debt/(cash)	81,365	97,647	118,970	153,046	-
Cash flow from operating activities	**20,821**	**31,977**	**59,884**	**91,759**	**-**
o/w Depreciation & amortization	6,174	9,294	14,316	24,491	-
o/w Changes in working capital	(1,500)	4,135	22,682	34,087	-
Cash flow from investing activities	**(21,711)**	**(51,854)**	**(95,000)**	**(119,500)**	**-**
o/w Capital expenditure	(21,215)	(55,663)	(95,000)	(119,500)	-
as % of sales	*37.0%*	*82.6%*	*104.4%*	*90.9%*	-
Cash flow from financing activities	**1,098**	**40,284**	**33,794**	**7,775**	**-**
o/w Dividends paid	(4,743)	(5,787)	(6,206)	(6,335)	-
o/w Net debt issued/(repaid)	0	3,345	0	0	-
Net change in cash	**332**	**20,503**	**(1,323)**	**(19,966)**	**-**
Adj. Free cash flow to firm	**(394)**	**(23,686)**	**(35,116)**	**(27,741)**	**-**
y/y Growth	*(103.3%)*	*5911.7%*	*48.3%*	*(21.0%)*	-

Income Statement - Quarterly	1Q27E	2Q27E	3Q27E	4Q27E
Revenue	**19,247**	**21,609**	**23,496**	**26,601**
COGS	(7,314)	(8,752)	(9,880)	(11,393)
Gross profit	**11,933**	**12,857**	**13,615**	**15,208**
SG&A	(1,925)	(2,053)	(2,162)	(2,261)
Adj. EBITDA	**9,754**	**10,602**	**11,451**	**13,183**
D&A	(3,175)	(3,174)	(3,684)	(4,284)
Adj. EBIT	**8,180**	**9,075**	**9,527**	**10,846**
Net Interest	(1,619)	(1,619)	(1,619)	(1,869)
Adj. PBT	**6,611**	**7,506**	**7,968**	**9,036**
Tax	(1,002)	(1,172)	(1,242)	(1,418)
Minority Interest	-	-	-	-
Adj. Net Income	**5,322**	**6,042**	**6,390**	**7,229**
Reported EPS	1.33	1.50	1.59	1.80
Adj. EPS	**1.76**	**1.94**	**2.04**	**2.30**
DPS	**0.50**	**0.50**	**0.50**	**0.50**
Payout ratio	37.6%	33.2%	31.5%	27.7%
Shares outstanding	3,017	3,116	3,132	3,148

Ratio Analysis	FY25A	FY26A	FY27E	FY28E	FY29E
Gross margin	70.5%	65.8%	58.9%	51.0%	-
EBITDA margin	41.6%	44.4%	49.5%	52.3%	-
EBIT margin	43.6%	42.9%	41.4%	39.1%	-
Net profit margin	30.1%	33.0%	27.5%	26.7%	-
ROE	114.4%	69.5%	35.5%	27.9%	-
ROA	11.2%	10.3%	8.0%	8.4%	-
ROCE	19.2%	16.2%	14.4%	14.6%	-
SG&A/Sales	17.9%	14.8%	9.2%	6.3%	-
Net debt/equity	3.9	2.3	1.2	1.0	-
P/E (x)	25.4	20.1	19.0	13.8	-
P/BV (x)	20.4	10.2	4.7	3.0	-
EV/EBITDA (x)	22.8	18.8	12.9	9.0	-
Dividend Yield	1.1%	1.3%	1.3%	1.3%	-
Sales/Assets (x)	0.4	0.3	0.3	0.3	-
Interest cover (x)	6.7	6.5	6.7	9.0	-
Operating leverage	102.4%	89.6%	85.9%	82.1%	-
Revenue y/y Growth	8.4%	17.4%	35.0%	44.6%	-
EBITDA y/y Growth	11.0%	25.4%	50.5%	52.8%	-
Tax rate	19.7%	19.9%	19.7%	20.0%	-
Adj. Net Income y/y Growth	10.0%	28.7%	12.4%	40.7%	-
EPS y/y Growth	8.4%	26.5%	5.5%	37.8%	-
DPS y/y Growth	6.3%	17.6%	0.0%	0.0%	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends May. o/w - out of which

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Oracle (ORCL, ORCL US) Price Chart



Date	Rating	Price ($)	Price Target ($)
12-Sep-23	N	126.71	100
12-Mar-24	N	114.13	105
12-Jun-24	N	123.88	110
06-Sep-24	N	142.61	120
13-Sep-24	N	161.38	140
11-Mar-25	N	148.79	135
12-Jun-25	N	176.38	185
08-Sep-25	N	232.80	210
10-Sep-25	N	241.51	270
11-Dec-25	N	223.01	230
11-Mar-26	OW	149.40	210

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 20, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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IB clients**	95%	92%	87%

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